



Time to push back

The U.S. has been emboldened to make increasing demands on India

The latest accusation levelled by the United States against India has the potential to be the most harmful to the Indian economy. A recent White House report, naming around 40 countries in all, has said that India ranks among the top ‘enablers’ of China’s evasion of U.S. tariffs. The accusation is that India and these other countries are importing Chinese goods, making minor modifications to them, and then exporting them to the U.S. at lower tariffs than what Chinese goods would have faced. The fact that Chinese imports form a significant pillar of Indian manufacturing is no secret. Yet, the nature of these imports is slowly changing. India is gradually moving away from importing finished products, making cosmetic changes, and selling them. Instead, the share of intermediate goods in Indian imports from China has been steadily rising. That is, India is doing much of its own assembly and manufacturing in several sectors now, relying on China and other countries for the parts needed. This shift is an important step towards full-scale manufacturing in India. The U.S. has not yet announced punitive actions based on its assessment of apparent Chinese tariff evasion, though that eventuality is conceivable. However, should it do so, India must resist bowing to U.S. pressure on this issue. As even the government has admitted, Chinese imports right now are an important part of the Make in India story.

The fear of India bowing to U.S. pressure is based on precedent. In his first term as U.S. President, Donald Trump railed against India’s tariffs on high-end motorcycles. In 2018, India cut these tariffs to 50% from the earlier 60%-75%, and then cut them further to 40% in February 2025, before trade deal talks had even started. Similarly, it slashed the import duties on shrimp feed and its components in the February 2024 Budget, a key ask of the U.S. It did the same with tariffs on frozen duck and turkey. The pressure of the 50% punitive tariffs pushed India to diversify away from Russian oil, despite India’s strident claims of energy sovereignty and the discount it was receiving. Russia’s share in India’s oil imports fell to below 20% in January 2026, from nearly double that when the 50% tariffs were imposed six months earlier. This had happened with Venezuelan oil in 2019 as well. It was the West Asia crisis, and the U.S.’s temporary reprieve, that has seen India turning back to Russian oil. Allowing FDI in the e-commerce inventory model, as India recently did, was something Amazon had been lobbying for for a decade, and a dilution of India’s long-held stance. The U.S. can wield immense pressure and so concessions are understandable. But that has emboldened it to make increasing demands. India needs to start pushing back.

Beyond America

Arab states can no longer depend on the U.S. for their security needs

Donald Trump’s threat to bomb Oman, a long-standing American ally in the Persian Gulf, reflects both his administration’s deepening frustration with the war against Iran and Washington’s declining influence in the region. This is the second time that the U.S. leader has threatened to attack Oman, which hosted talks between Washington and Tehran before he launched the war on February 28. When Mr. Trump backed down from a threatened escalation after 13 days of bombing on Iran in July, he said the U.S. and Iran were close to a deal on reopening the Strait of Hormuz, which was closed by Iran after it was attacked. But Iran never said that it had agreed to a deal with the U.S. over the Strait and instead issued several demands, including releasing frozen funds and issuing sanctions relief, as preconditions for any agreement. Ever since, Oman, under U.S. influence, has been talking to Iran seeking a settlement. As Iran, which survived two rounds of U.S. bombings, refused to offer major concessions, the U.S.’s frustration with Oman has deepened. Mr. Trump has repeatedly claimed that the Strait of Hormuz was open, but traffic through the waterway, through which one-fifth of the world’s seaborne oil passed before the war, is nowhere near its pre-war levels.

The war has raised questions about America’s regional security strategy and its commitment to the security of its allies. Over the years the U.S. had built military bases across the Persian Gulf. However, Tehran has turned these bases into a liability by repeatedly striking them and their host countries. At least 15 American bases, including the Fifth Fleet Headquarters in Bahrain, are either damaged or destroyed, which has substantially reduced the U.S.’s strategic presence. But Mr. Trump does not seem to grasp the seriousness of the situation. Instead of reassuring the allies, he is now threatening to bomb them because they are not able to deliver on his push for a face-saving deal with Iran. From day one of the war, his threats and rhetoric did little to advance America’s strategic goals or deter Iran. But Mr. Trump, stuck deep in the Persian sands, appears unable to change tack. Whether he acknowledges America’s growing limitations in West Asia or not, countries in the region confront a new strategic reality: the foundations of the old security architecture have been shaken. In their hour of need, American bases have turned out to be a liability. They should also recognise that the decades-old policy of containing Iran has failed. To ensure their own security and regional stability, the Persian Gulf countries need to look beyond the American security umbrella and lay the foundations for a new regional order, shaped by a cold peace between the Arab states and Iran.

Rural workers are paying a heavy price for the Union Government’s ill-conceived tinkering with India’s employment guarantee law. Indeed, evidence is mounting of an unprecedented crash in employment generation under the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) and its successor, the Viksit Bharat–Guarantee for Rozgar and Ajeevika Mission (Gramin) alias VB-G RAM G Act.

One aspect of this crash has been widely noted: the 50% decline in employment generation under VB-G RAM G in July 2026, *vis-à-vis* MGNREGA in the same month last year. The 50% estimate is actually based on a premature figure of 7.7 crore person-days for July 2026. The latest figure is 8.3 crore, and the final figure is likely to be around 9 crore according to the Ministry of Rural Development. But even if we accept this anticipated total for July, the decline *vis-à-vis* July 2025 would be above 40%, which is a massive setback.

Misleading excuse

The Ministry of Rural Development made a lame attempt to attribute this setback to the fact that a few States explicitly suspended VB-G RAM G in



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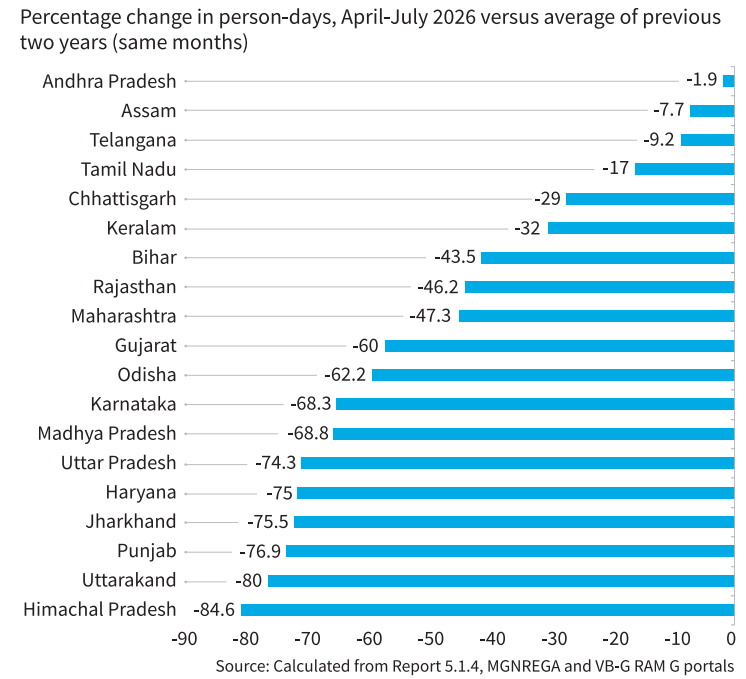


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VB-G RAM G has driven employment guarantee into the ditch

Employment decline in April-July 2026



The July Uprising of 2024 was not an isolated event in Bangladesh. Rather, it was the culmination of nearly two decades of democratic struggle.

Bangladesh has a long and strong history of striving for democracy. The Bangladesh Nationalist Party (BNP), which is currently in government, has consistently advocated democracy and contributed to efforts to build an inclusive society in which freedom of speech, social harmony, the rule of law, and human rights are upheld.

Since the July Uprising, the BNP, as the country’s largest political party, has repeatedly emphasised the importance of keeping society united and building a better Bangladesh for all.

In the aftermath of the uprising, the then BNP Chairperson and former Prime Minister Begum Khaleda Zia, in a video message, called for “no destruction, no revenge, no vengeance”, and urged the people to build a society based on knowledge, peace, and justice.

Towards an inclusive and equal Bangladesh

Following the July Uprising and the fall of the previous regime, Bangladesh Prime Minister Tarique Rahman strongly condemned mob violence and repeatedly emphasised the importance of protecting the rights and dignity of every citizen, including religious and ethnic minorities.

The BNP’s traditional position on minority rights is rooted in the principle that Bangladesh should not be defined through a majority-minority framework. Regardless of religion, race, geographical location, or ideological position, every citizen in the country should be able to enjoy their religious, political, cultural, and social rights without hindrance. The government’s position is that religion is an individual matter, but the state is for all.

This principle is also reflected in the government’s public programmes. At the beginning of major state functions, verses and teachings from the Koran, the Gita, the Tripitaka, and the Bible are presented, reflecting the government’s stated commitment to respecting



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Under Prime Minister Tarique Rahman, Bangladesh’s democratic journey seeks inclusion, equality, dignity, and accountable governance

parts of July 2026 under Section 6 of the Act, but this is the mother of all red herrings. For one thing, these States account for a small share of total MGNREGA employment, and the July 2026 decline looks much the same in proportionate terms when these States are left out. For another, the July decline is just the continuation of a crisis that began earlier.

Some background may help. A Bill paving the way for the replacement of MGNREGA with VB-G RAM G was rushed through Parliament in December 2025. The Rural Development Minister announced, at that time, that the replacement would take place on April 1, 2026. However, nothing of the sort happened on April 1. Evidently, the Ministry was not ready for the transition. The Rules, in particular, had not been framed. MGNREGA continued, by default.

On May 22, 2026, the Ministry released draft VB-G RAM G Rules for public consultation. These Rules are mainly a rehash of MGNREGA rules and orders. Release of the final Rules began at the end of June, just on time for the official replacement of MGNREGA with VB-G RAM G on July 1. VB-G RAM G wage rates were also notified on June 30, with a minimum norm of ₹300 per day – much the same as the earlier MGNREGA norm of ₹100 per day at 2009-10 prices.

The transition, the ground reality

During the first three months of this financial year (April to June), confusion prevailed. To paraphrase Gramsci, the old world of MGNREGA was dying, and the new world of VB-G RAM G was struggling to be born. In some districts, MGNREGA functionaries refused to open new works. In many areas, there was no MGNREGA work at all. This was a serious lapse, as MGNREGA is normally at a peak during these summer months (a slack agricultural season in large parts of India). The limbo continued in July 2026, when VB-G RAM G made a faltering start.

In 2024-25 and 2025-26, the first four months of the financial year (April to July) accounted for nearly 50% of annual employment generation – 128 crore and 119 crore person-days, respectively. In 2026-27, however, MGNREGA and VB-G RAM G generated only 70 crore person-days of employment in the same months – a decline of 43% from the average of the preceding two years.

Employment declined in all major States, but the decline was far from uniform across States (see *chart*). It was relatively small in a few States (example, Andhra Pradesh, Assam and Telangana), but larger than 40% in most States. In



At Honnakiranagi village in Kalaburagi district, Karnataka. ARUN KULKARNI

10 out of 19 major States, the decline ranged between 60% and 85%. States where employment generation came to a virtual standstill in April-July 2026 include Madhya Pradesh, Uttar Pradesh and Jharkhand, some of India’s largest and poorest States.

This crash in employment is all the more startling as the transition to VB-G RAM G was supposed to lead to a huge increase in employment generation. The VB-G RAM G allocation in the 2026-27 Union Budget is ₹95,692 crore – a little more than the actual MGNREGA expenditure in 2025-26. The total VB-G RAM G budget, inclusive of State contributions (40% of the total for most States), was due to shoot up to ₹1.5 lakh crore or so – an increase of about 70% *vis-à-vis* MGNREGA expenditure in 2025-26. With wages more or less unchanged in real terms, one would expect this enhanced budget to trigger a big increase in employment generation. Instead, the first four months of 2026-27 witnessed an unprecedented crash.

An uncertain road ahead

It is, of course, too early to pass judgement on VB-G RAM G. But the launch is certainly a damp squib as things stand. The fact that employment generation has been virtually nil for months in some of India’s largest and poorest States is particularly alarming.

The situation may improve in the next few months, but it is hard to see how the projected VB-G RAM G expenditure of ₹1.5 lakh crore in 2026-27 is going to materialise. Wage payments may face serious problems too, with the imposition of facial recognition at the worksite and Centre-State cost-sharing. The outlook is bleak.

A vision for an inclusive Bangladesh

competing narratives. The year 1971 is the root of Bangladesh’s national identity, while 2024 represents a renewed inspiration for democratic aspirations and political transformation.

This understanding has also been reflected in the government’s symbolic initiatives. After assuming office, Prime Minister Tarique Rahman named galleries in Parliament in honour of the heroes of 1971 and 2024. He also named the main entrance of Parliament after General M.A.G. Osmani, the commander-in-chief of Bangladesh’s Liberation War.

Domestic and foreign policy

The government’s domestic policy priority is to ensure quality education and proper health care for every citizen. As a delta nation, it also prioritises sustainable development and environmental conservation. It focuses on job creation, social welfare, human development, economic diplomacy, global trade, and strategic partnerships around the world.

Regarding foreign policy, the government believes in putting Bangladesh first and adopting a self-respecting, active, and responsible global position based on equality, fairness, and mutual respect.

The founder of the BNP, Shaheed President Ziaur Rahman, was a proponent of the South Asian Association for Regional Cooperation (SAARC), and the party continues to prioritise making SAARC more effective. Bangladesh’s current government promotes friendly bilateral relations with other countries, including its neighbours, on the basis of sovereign equality, national dignity, non-interference in each other’s internal affairs, and mutual benefit.

Under Tarique Rahman’s leadership, Bangladesh seeks to build a people-centred welfare system and a society based on peace, justice, and equality for people of all religions and beliefs. Overall, these initiatives demonstrate an attempt to connect Bangladesh’s historic struggle for democracy, human rights, inclusion, and accountable governance.

The views expressed are personal

LETTERS TO THE EDITOR

Students bear the burden

The Jharkhand students’ agitation, coming as it does close on the heels of the recently held CJP-led Jantar Mantar agitation, has put the nation on edge. It signifies that the agony and angst of the student community are not localised or limited to Delhi and Jharkhand but are spreading like a pandemic across the country. This exposes the decadence of the entire education and

examination ecosystem in the country and the lack of accountability in the governing architecture. What is all the more deplorable and intriguing is that not only have paper-leak cases occurred with alarming frequency, but the results of examinations conducted without any reported leaks have also not been declared for inordinately long periods, for no ostensible reason, to the chagrin and

utter dismay of job-seeking students. The selling of jobs for money by those sitting at the helm of affairs makes the problem all the more vicious and difficult for poor, eligible students to cope with in a system mired in corruption. Although education is a subject on the Concurrent List under the Constitution, this malady needs to be addressed through drastic measures at the national level. Those responsible for

this mess need to be brought to book and meted out exemplary punishment through time-bound legal proceedings. The issue needs to be addressed lock, stock, and barrel; otherwise, the crisis could put the whole nation on the boil sooner rather than later.

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Elections and finance

It is an open secret that money power is one of the

deciding factors in determining the outcome of elections (inside pages, “Black money in elections hampers democracy, says Supreme Court”, August 18). Money is spent like water, and cases of large amounts of currency being seized are regularly reported. The job of the Election Commission of India does not begin and end with conducting polls and declaring results. It also needs to scrutinise

expenditure on the massive arrangements made during election campaigns. Political parties should be required to disclose and substantiate the sources of their funds. While the government insists on curbs on FCRA, why is it silent on massive election expenditure?

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Secunderabad

Letters emailed to letters@thehindu.co.in must carry the postal address.